Institutional Design of Misconduct Redress:

Evidence from the Financial Ombudsman Service

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Misconduct

- **Misconduct**: Market actions that contravene legal, regulatory, or ethical norms
- A pervasive feature of several markets central to the economy
  - E.g., Healthcare, real estate, autos, food, tech/AI...
- **Leading example:** Financial Services Industry
  - In some US counties, one in six financial advisers has a history of misconduct
  - Yearly settlement levels in US financial adviser misconduct cases: $500m
  - In UK, 32.4 million complaints on PPI were submitted; over $50bn refunded to consumers
- Efforts to reduce misconduct focus on following G20 Principles:
  1. *Consumer education*
  2. *Regulation*
  3. **Complaints & Redress Schemes** (Today): How should we design them?

Facts

Design of Redress

- Consumers have option to pursue redress through courts but legal costs are prohibitive
- Hence, institutions handling disputes (*ombudsmen*) exist to provide a more accessible intermediate option. Limited (empirical) work on their efficient design
- This paper:
  - Develop & estimate a model for analyzing the design of redress schemes
  - Model captures selection into challenges by consumers, pre-trial settlement, & procedural fees
  - Use the estimated model to quantify potential reforms and quantify a central tradeoff between affordability and efficiency

Preview G20

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Preview G20

- My setting: the UK Financial Ombudsman (FOS)
  - The UK institution that handles consumer financial misconduct disputes
  - **Controversial fees:** until recently, lender pays $900 case fee *irrespective* of FOS ruling (!)
  - **Defining feature:** no fee for consumer

Context

UK Financial Ombudsman: Background, Process, Fees

- Founded in 2001, independent public body offering “free”, impartial, alternative to the courts for consumers and small businesses that have disputes with financial services firms
- Funded by a compulsory levy on regulated firms (30%), plus lender case fees (70%). Currently $900 case fee for lender (April 2025 reform)
- Maximum compensation increased over time, currently $600,000
- Process:
  1. Consumer legally must first complain to business. Business has 2 months to respond
  2. If business doesn't respond or consumer is not satisfied, escalation is to FOS
  3. FOS checks it is in jurisdiction, bills business case fee, gathers evidence from both sides, and issues a provisional and then (if needed) a final decision. Decision is binding on lender

UK Financial Ombudsman and Complaints: Background Statistics

In first half of 2025:

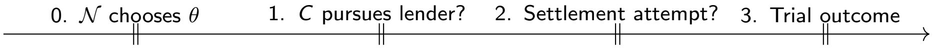
- Total Complaints to Businesses: 1,850,000
- FOS Cases: 156,000 (implies pre-FOS resolution rate $\approx$ 92%)
- Common Categories: Banking, Insurance, Credit, Investment, Pensions, and Annuities

Cases range from credit card lender failing to send a statement on time, to loss of $300k pension pot

Theoretical Analysis

Model Setup

- Redress process: dynamic game between challenger C & firm (lender) L
- Challenger endowed with potential case of merit $\theta \in \{G, \mathrm{I}\}$
- $\theta = G$ is a high-merit case: lender is guilty
- Prior $\pi = \mathbb{P}(\theta = G) \in (0, 1)$
- Timing:



Three points:

1. Nothing in the theory is specific to financial services
2. Misconduct here is **exogenous**: intend to endogenize this in an extension
3. Continuous merit case gives similar results, covered in appendices Continuous

Payoffs and Information

1. **Case initiation:** Challenger decides whether to present case to lender. Not presenting = 0 payoff; otherwise challenger pays $K > 0$ to complain to lender

2. **Pre-FOS settlement:** Before FOS, there is a chance for challenger and lender to agree a transfer from lender to challenger to end the case

3. **FOS Trial:** If there is no settlement, the FOS bills the lender for <u>*non-refundable*</u> f_L and then makes a decision. Probability FOS finds lender guilty is e_θ with $e_{\mathrm{I}} < e_G$. If they find lender guilty, lender must pay challenger $B > 0$.

All parameters are common knowledge, except potentially the case merit θ

Incomplete Information Setting

- Complete info model cannot generate trials in equilibrium: all types θ settle at transfer from lender to consumer of $T \in [e_\theta B, f_L + e_\theta B]$
- Move to lender not knowing merit θ (e.g., lender unsure of FOS decisionmaking)
- In this case, must have one of lender or challenger making settlement offer
- For the presentation, I focus on lender offer:
  - Equilibria generating trials here are less dependent on equilibrium refinements
  - Realistic case
- **All other versions in paper appendix: similar conclusions** Robustness
- Assume $K < e_I B$ for this presentation, so that both types pursue and lender cannot infer on type from the filing decision $K > e_I B$ Complete Info

Lender Settlement offer: $K < e_{\mathrm{I}} B$

- Lender's possible optimal offers:
  1. Offer $T = e_{\mathrm{I}} B$ and have only innocent cases settle, at cost $(1-\pi) e_{\mathrm{I}} B + \pi(f_L + e_G B)$
  2. Offer $T = e_G B$ and have everyone settle, at cost $e_G B$

- Lender offers $e_G B$ iff

$$\pi > \pi^* = \frac{\Delta_e B}{f_L + \Delta_e B}, \qquad \Delta_e := e_G - e_{\mathrm{I}}$$

- **Intuition:** if lender is sufficiently likely to be guilty, avoid the risk and cost of trial and settle with everyone

- **Implication:** Irrespective of π, only G types can end up in a trial – always settle with I. So uphold rate vastly overstates misconduct rate

Key, robust intuition: The high lender fee f_L, paid irrespective of outcome, creates incentives for opportunistic behavior by low-merit challengers

What Might Eliminate Low-Merit Challenges (In Theory)?

1. **Remove FOS errors** ($e_I = 0$, $e_G = 1$, keep f_L):
   - Low-merit challengers still pursue — lender fee makes settlement attractive even against innocent cases $\Longrightarrow$ **Insufficient (and expensive)**
2. **Remove lender case fees** ($f_L = 0$, keep FOS errors):
   - Low-merit challengers still pursue when $K < e_I B$: FOS mistakes make low-merit challenges profitable in expectation $\Longrightarrow$ **Insufficient (and expensive)**
3. **Remove both:**
   - Low-merit challengers eliminated; only high-merit cases pursue
   - **Sufficient but expensive**

The funding problem: Removing f_L creates a budget hole

How might we screen out low-merit challenges in a budget balancing way?

Policy Changes: Challenger Deposit

- Changing *case* fees for challengers & lenders cannot screen low merit challengers Details
- How can we screen out challengers of low merit?
- Challenger pays a deposit for pursuing lender, which can be refunded if lender guilty Proof
- While this makes the process "efficient," it breaks central tenet of FOS:

Free at point of use for consumer

- Aligns with recent concerns about representative fee being passed onto consumer
- **Quantitative question:** What is the magnitude of inefficiencies generated by the desire to keep FOS affordable (free) for consumers?

Data and Descriptives

Data

1. **FCA Complaints and FOS Aggregate Statistics**
   - # complaints & # FOS cases by product and firm for each quarter from 2014–2024
   - Aggregate statistics on settlement amounts

2. **Public FOS Cases**
   - Scrape near-universe of publicly available cases (≈350k cases)
   - Web scraping to get ID, date, firm, decision, product
   - Regex & AI methods on decision letter to pull out ombudsman name and gender, Honorifics (Mr/Mrs) of challenger(s), and damages if upheld

Sample Scraping Decision Letter

Summary Statistics

Variable	Mean	S.D.
Upheld	0.33	0.47
Damages | Upheld ($)	2,959.67	16,575.16
Banking	0.37	0.48
Consumer Credit	0.09	0.29
Insurance	0.46	0.50
Investment, Pension, Annuities	0.10	0.30
Male Ombudsman	0.51	0.50
Contains Male Challenger	0.70	0.46
Contains Female Challenger	0.50	0.50

(Log) Damages are highly non-normal and follow a mixture distribution Descriptives Damages

Model Estimation and Counterfactuals

Model Estimation

- Set f_L to match FOS fee in data: \$900
- B drawn non-parametrically, θ binomial with estimated π
- e_G set at uphold rate (model implication)
- Parameters to estimate: (K, π, e_{I})
- Estimate parameters using simulated method of moments. Match on:
  1. % cases with a complaint (FCA Financial Lives)
  2. % complaints settled (FCA + FOS data)
  3. Average redress in settlements (FCA)
- Estimates: $K = \$75$, $\pi = 3\%$, $e_{\mathrm{I}} = 2\%$:[1] low misconduct!

[1] Bootstrap standard errors: 7.303, 0.006, 0.002

Counterfactual Simulation

Regime	Pursue Rate (%)	Trial | Pursue (%)	I Cost	G Cost	FOS Cost	FOS Rev
Baseline						
No FOS Errors ($e_I = 0, e_G = 1$)						
No Lender Fee ($f_L = 0$)						
No FOS Errors + $f_L = 0$						
Free Pursuit ($K = 0$)						
Deposit Fee						

(All costs and revenues are reported in millions of 2026 USD)

Counterfactual Simulation

Regime	Pursue Rate (%)	Trial | Pursue (%)	I Cost	G Cost	FOS Cost	FOS Rev
Baseline	24.36	5.75	1309.72	947.12	391.90	247.56
No FOS Errors	11.41	19.65	133.91	2273.59	618.89	390.94
No Lender Fee	13.27	10.60	1136.69	699.56	391.90	0.00
No FOS Errors + $f_L = 0$	2.96	75.44	0.00	1882.65	618.89	0.00
Free Pursuit	100.00	2.96	1370.02	1232.14	829.53	524.00
Deposit Fee	3.13	100.00	0.00	1884.62	874.31	0.00

(All costs and revenues are reported in millions of 2026 USD)

Related Literature

- **Modeling Litigation:**

  Priest and Klein (1984), Bebchuk (1984), Salant (1984), Banks and Sobel (1987), Sobel (1989), Spier (1992b), Spier (1992a), Spier (1994), Fenn and Rickman (1999), Lee and Klerman (2016)

  - *Contribution:* Variant of Spier models with “imperfect court” & no consumer fees

- **Misconduct and Redress:**

  Egan, Matvos, and Seru (2018, 2019, 2022, 2024), Dou, Hung, She, and Wang (2024) and Vaishnav, Neethinayagam, Khaire, and Woo (2024), Eliason, League, Leder-Luis, McDevitt, and Roberts (2025); Annan (2025)

  - *Contribution:* Theoretical & Empirical analysis to consider optimal redress design

- **Empirical Agency Design:**

  Schankerman and Schuett (2022); Freilich, Meurer, Schankerman, and Schuett (2024); Matcham and Schankerman (2025a,2025b), Carnehl et al (2025), Adda and Ottaviani (2024)

  - *Contribution:* Estimate a model of agency design

Conclusion

- Analyze the design of *ombudsmen*: intermediate institutions that adjudicate disputes between consumers and firms
- Insights:
  - Under complete information and reasonable parameterizations of incomplete information, low-merit cases never reach trial, hence uphold rates overstate population-level misconduct
  - There is a tradeoff between **affordability** and **efficiency**: an upfront challenger fee can stop low-merit cases from pursuing lender, but a FOS fee for consumers cannot
  - Sacrificing the aim of affordability saves innocent lenders $1.3bn per year but increases net operating costs by $730m
- Future:
  - Integrated model with ex ante incentives and endogenous misconduct
  - More explicit intermediary sector (professional representatives, aka CMCs)
  - Dynamic incentives, reputation effects (Kreps and Wilson style)

Appendix

Descriptive Findings

1. Uphold rates:
   - Vary from 29% in Banking to 42% in Consumer Credit
   - Have risen from 23% in 2014 to 40% in 2024
   - Do not vary by gender of the ombudsman
   - Are 9% lower ($p < 0.01$) when one of the challengers is male
2. Mean damages:
   - Vary from £5,713 in Insurance to £62,075 in Pensions
   - Fell in real terms between 2015 to 2020, rising back up
   - Do not vary by gender of the ombudsman
   - Are 12% higher ($p < 0.01$) when one of the challengers is male
3. Ombudsmen vary in their average uphold rates and damages
4. Firms vary in their uphold rates (quality of winning cases/proportion of misconduct)

Back

Wrapping Up Equilibrium in Old Fee Structure

- In the paper, I analyze all possibilities:
  1. Complete info
  2. Lender ignorant on θ, lender offer
  3. Lender ignorant on θ, challenger offer (separating & pooling eqm)
  4. Challenger ignorant on θ, challenger offer
  5. Challenger ignorant on θ, lender offer (separating & pooling eqm)
  6. Lender and challenger ignorant on θ
- **Common to all:** Low-merit challengers never make it to court. If anyone goes to court, it is the guilty cases

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Damages Data

- While I can get data of damages using regular expressions, there are limitations:
  1. Can only get damages when upheld
  2. Can only really handle cases with monetary values, so I underestimate when some damages aren't reported
- To address this concern, do two things:
  1. Check robustness of empirics to cases where monetary damages are most likely, separately remove cases with a % symbol in award section
  2. Provide a subsample of the documents to GPT 5 API and ask it to read the document and estimate the damages as a total monetary sum
     - Regular expressions approach does better!

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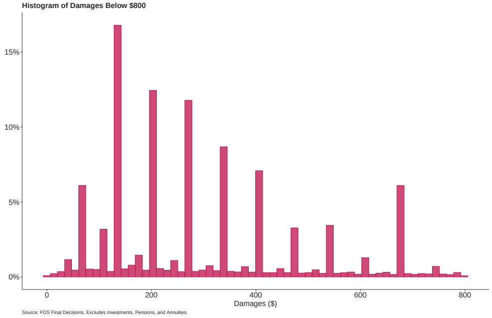
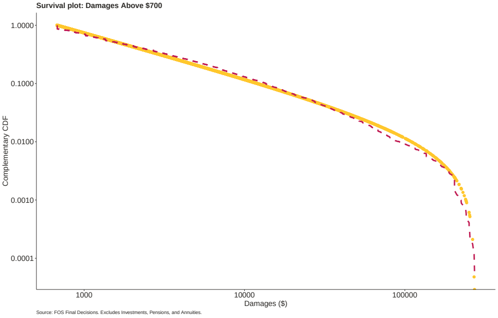
Damage Distribution

- Damages have a long tail: Log-normality and Plain Pareto are rejected Test Log Test Pareto
- Non-pensions products follows a mixture distribution:
  - Discrete distribution at round numbers below $700
  - Truncated Pareto distribution between $700 and damage cap





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Redress Design

"Jurisdictions should ensure that consumers have access to adequate complaint handling and redress mechanisms that are accessible, **affordable***, independent, fair, accountable, timely and* **efficient***. Such mechanisms should not impose unreasonable cost, delays, or burdens on consumers."*

G20 High-Level Principles on Financial Consumer Protection, OECD (2011)

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Sample

- When a case goes to FOS, if the assigned investigator can handle the case without issue, the case is private and FOS do not publish the outcome
- If the assigned investigator is unsure, or either party disagrees with the outcome the case goes to an ombudsman and the decision is made public
- It is worth noting that ombudsmen agree with the original investigator on the outcome and damages in approximately 90% of cases, suggesting that public cases are representative of the full population of cases considered by the FOS.

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Facts in Introduction

- Misconduct definitions:
  - Annan (2025) “Market actions that are unethical and indicative of fraud”
  - Wikipedia “Wrongful, improper, or unlawful conduct motivated by premeditated or intentional purpose or by obstinate indifference to the consequences of one’s acts”
- Proportion of US advisors and damages: Egan et al (2019).
- CFPB complaints from CFPB
- PPI numbers from FCA
- Estimate of UK mass redress from S&P Global

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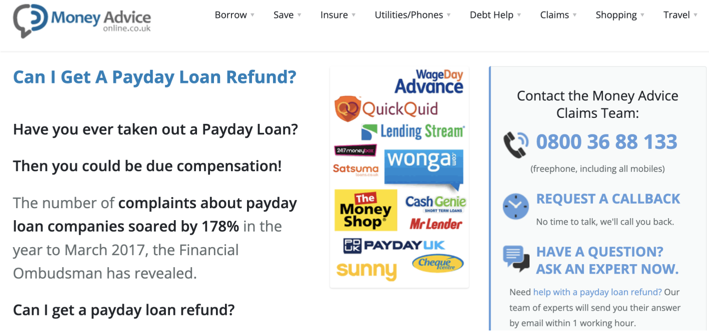
Examples of FOS Impact: UK Payday Loans Market



https://www.moneyadviceonline.co.uk/claims/payday-loan-refund.html

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Too Many Challenges?

50% of the CMC claims that have come to Barclays relate to claims from people who have no relationship with Barclays. And so there is an enormous amount of ramping up of annoyance and irritation, and a buildup of expectations from CMCs that frequently seek advance payments before anything is delivered"

Sir David Walker, Former Barclays Chair

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Or Valuable Institution?

"If you look at the detail of what goes to the FOS, you will see that when the FOS investigates cases, it is still upholding around 90% of the cases that get referred to it. Whatever you may say about bogus claims and fictitious claims, when they are properly looked at by an adjudicator, an ombudsman, the FOS is actually saying that about 90% of the claims are valid and should be paid out on."

Martin Wheatley, Former FSA CEO

(Parliamentary Commission on Banking Standards, 2013)

Dispatches 1

This is Money (2018)

This is MONEY.co.uk

FINANCIAL WEBSITE OF THE YEAR

Home Business Saving & banking Investing Cost of living & bills Cars Cards & loans Pensions Mortgag

Financial Ombudsman chief tries to rally staff before Channel Four documentary exposes failings at complaints service

- **Caroline Wayman has written to staff warning about documentary**
- **Channel Four and its Dispatches team went undercover at the FOS**
- **Comes nearly a year after This is Money revealed staff unhappiness**

By LEE BOYCE FOR THISISMONEY.CO.UK

UPDATED: 10:52, 23 February 2018

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Dispatches 2

Telegraph Money (2018)

MONEY

Explore Tax, Property, Banking...

Financial ombudsman agrees to independent review after 'troubling' documentary

Gift this article free

Amelia Murray
26 March 2018 6:40pm BST

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Backlog

This is Money (2019)

This is MONEY.co.uk
FINANCIAL WEBSITE OF THE YEAR

Home Business Saving & banking Investing Cost of living & bills Cars Cards & loans Pensions Mortga

More than 30,000 cases on the shelves at the Financial Ombudsman as whistleblower reveals backlog has worsened since 2016 revamp

- **Three times as many cases are waiting to be heard than before 2016 revamp**
- **Whistleblower tells Treasury committee 30,000 still haven't had cases assigned**
- **Inquiry into the watchdog comes after damning documentary last year**
- **Chief Executive Caroline Wayman defended backlog as it comes from mushrooming in number of cases**

By GEORGE NIXON FOR THISISMONEY.CO.UK
UPDATED: 10:52, 23 January 2019

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CEO Quit

FT 2025

Financial Ombudsman Service

Head of UK financial ombudsman quits unexpectedly

Departure of Abby Thomas comes during review of customer redress system in financial services sector

Abby Thomas had run the ombudsman since October 2022 © Charlie Bibby/FT

Martin Arnold and **Ortenca Aliaj** in London

Published FEB 6 2025 | Updated FEB 6 2025, 21:44

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Chair Quit

FT 2025

Financial Ombudsman Service Feb 11 2025

Fos chair Baroness Manzoor to step down in August

Baroness Manzoor is set to leave the Fos in Summer.

Tom Dunstan

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UK financial regulation

UK Treasury to review under-fire Financial Ombudsman Service

Announcement of probe comes as government sets out 'radical action plan' to cut regulation and red tape

City minister Emma Reynolds is reviewing the role of the Financial Ombudsman Service © Charlie Bibby/FT

Martin Arnold, **Jim Pickard** and **Peter Foster** in London

Published MAR 17 2025 | Updated MAR 17 2025, 16:20

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CMC Fees

FT 2025

UK financial regulation

UK claims management companies to be charged for submitting cases

Move by financial ombudsman is designed to deter 'ambulance chasing' groups bringing spurious cases

The ombudsman's announcement comes a day after its chief executive quit, having clashed with its board over the plans © Charlie Bibby/FT

Martin Arnold, Financial Regulation Editor

Published FEB 7 2025

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Other Countries

- **Australia (AFCA):** one-stop-shop for financial disputes
- **Canada (FCAC):** Not an ombudsman but handles complaints (focuses on education & resolution)
- **Ireland (FSPO):** Decisions are legally binding, free
- **USA (CFPB):** Not an ombudsman but handles complaints
- **India Banking Ombudsman Scheme:** Faces challenges from high rejection and slow resolution
- **Germany:** Free for consumers, independent decisions by former judgets
- **France (AMF):** Free mediation services, resolves disputes amicably
- **Spain (FCOA):** functionally independent, replaces Banco de Espana
- **EU:** Harmonized regime for mass harm, cross-border disputes

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Lender Settlement offer: $K \in [e_{\mathrm{I}}B, e_G B]$

- When $\pi > \pi^*$, obtain same equilibirum as with $K < e_{\mathrm{I}}B$, so have $T = e_G B$
- When $\pi < \pi^*$, if lender offers $e_{\mathrm{I}}B$, only G pursue lender, so offer of $e_{\mathrm{I}}B$ is not optimal
- Instead, we have a mixed strategy equilibrium:
  - $\theta = G$ always pursues
  - $\theta = B$ pursues with probability λ
  - Lender mixes between $e_{\mathrm{I}}B$ (probability σ) and $e_G B$ (probability $1 - \sigma$)
  - $\theta = G$ accepts if $T \geq e_G B$, $\theta = \mathrm{I}$ accepts if $T \geq e_{\mathrm{I}}B$
- λ makes lender indifferent between mixing options: $\lambda = \dfrac{\pi}{1-\pi}\dfrac{f_L}{\Delta_e B}$
- σ makes low-merit challenger indifferent between applying and not: $\sigma = \dfrac{K - e_{\mathrm{I}}B}{\Delta_e B}$
- Generates trials based on probabilities of mixing Back

Challenger Settlement offer: Separating Equilibrium

- Separating equilibrium has offers $T_{\mathrm{I}} \neq T_G$
- Lender updates priors π to $\mu(T)$ based on T proposed
- Lender rejection rule $r(T) \in \{\text{Accept}, \text{Reject}\}$ for all T
- Following is a separating equilibrium if $K < f_L + e_{\mathrm{I}}B$ and $f_L < (e_G - e_{\mathrm{I}})B$:
  - Both types pursue the lender
  - $T_{\mathrm{I}} = f_L + e_{\mathrm{I}}B$
  - $T_G = f_L + e_G B$
  - $r_T =$ Reject if and only if $T > T_{\mathrm{I}}$
  - $\mu(T) = 0$ for $T < T_G$ and $\mu(T) = 1$ for $T \geq T_G$
- Generates trials for G types on equilibrium path
- Survives intuitive criterion but NOT D1 and is not sequential equilibrium Back

Challenger Settlement offer: Pooling Equilibrium

- Pooling equilibrium has $T_{\mathrm{I}} = T_G = T^{\text{pool}}$ and $\mu(T^{\text{pool}}) = \pi$
- Following is a pooling equilibrium if $K < e_{\mathrm{I}}B$ and $f_L > (1-\pi)(e_G - e_{\mathrm{I}})B$:
  - $T^{\text{pool}} = \bar{T} = f_L + B[\pi e_G + (1-\pi)e_{\mathrm{I}}]$
  - $\mu(T) = 0$ for all $T \neq \bar{T}$
  - $r(\bar{T}) =$ Accept; for all $T \neq \bar{T}$, $r(T) =$ Accept if and only if $T < f_L + e_{\mathrm{I}}B$
- Intuition: if f_L large, G-type rather get a share of f_L in the settlement than separate and go to trial
- Does not generate trial on equilibrium path Back

Proof: 2025 Changes

- Challenger pays f_C if lender innocent and $(1-\gamma_C)f_C$ if guilty; similarly for lender f_L
- Hight-merit challenger happy for trial if $T < \bar{T} = e_G B - f_C(1 - e_G\gamma_C)$
- But lender cannot prefer trial as trial cost always exceeds settlement[2]

$$e_G(B + f_L\Gamma_L) \geq \underbrace{e_G B - f_C(1 - e_G\gamma_C)}_{\text{Max Settle}} > T$$

- Hence, we need high-merit to want to settle, but if high-merit wants to enter and settle, so will low-merit

Back

[2] $\Gamma_L = 1 - \gamma_L + \gamma_L e_G$

Policy Changes: 2025 FOS Change Enacted

- **Recent changes:**
  1. FOS introduced fee (for consumer representative) to take case to FOS, f_C
  2. Partial refund of f_C if lender guilty
  3. Partial refund of f_L if lender innocent

- Can such a policy screen out challengers of low merit?

- No. Proof

- **Intuition**: FOS fee for challengers keeps cases out of FOS but only by *slackening* settlement condition, making C and L happier to settle before FOS

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Proof: Deposit Scheme

- Let F_2 be the deposit for the challenger, F_1 new lender fee
- We need an equilibrium with guilty wanting to go to trial so that innocent don't pursue. Hence for high-merit, need

$$T - F_2 \leq e_G B - (1 - e_G) F_2$$

- Hence, $T_{\min} = e_G(B + F_2)$. The lender prefers trial if $F_1 \leq F_2$
- For high-merit to pursue, need

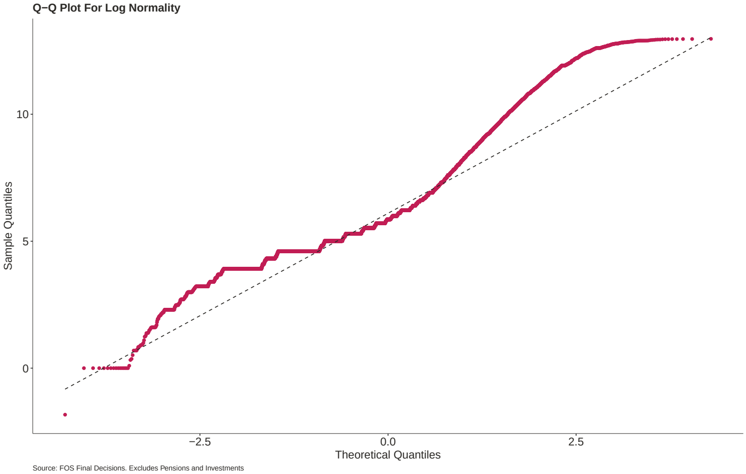
$$e_G B - (1 - e_G) F_2 - K > 0 \iff F_2 < \frac{e_G B - K}{1 - e_G}$$

- Similarly for low-merit not to pursue, need

$$F_2 > \frac{e_I B - K}{1 - e_I}$$

Hence we need $F_2 \in \left[\frac{e_I B - K}{1 - e_I}, \frac{e_G B - K}{1 - e_G}\right]$, nonempty provided $K < B$ Back

Test Log Normality of Damages



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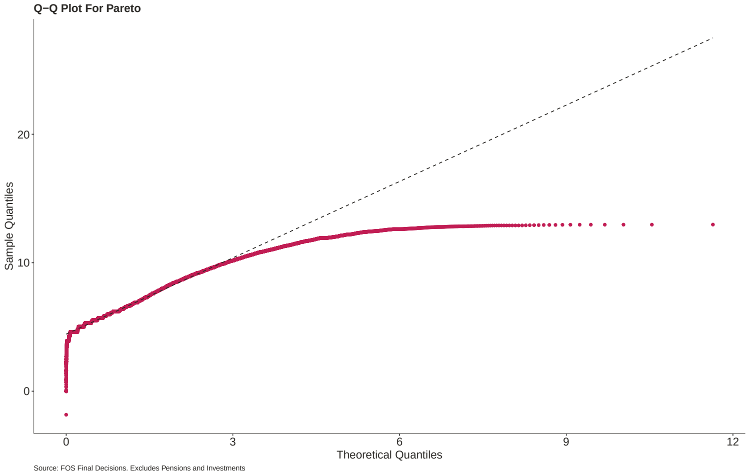
Test Pareto of Damages



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Continuous Merit: Setup

- Same game as baseline (challenger knows θ, lender does not, lender makes TIOLI offer), but merit is now *continuous*: $\theta \in [0,1]$, CDF H, density h
- Uphold schedule $e(\theta) : [0,1] \to [e_0, e_1]$ strictly increasing, $e_0 = e(0)$, $e_1 = e(1)$ (perfect court: $e_0 = 0$, $e_1 = 1$)
- Complete-info and both-ignorant benchmarks carry over unchanged (swap $e_\theta \to e(\theta)$ and $\bar{e} \to \mathbb{E}[e(\theta)]$)
- **Cutoff acceptance:** type θ accepts T iff $T \geq e(\theta)B$, so choosing T is equivalent to choosing a cutoff $\hat{\theta}(T) = e^{-1}(T/B)$:

$$\theta < \hat{\theta} \;\Rightarrow\; \text{settle} \qquad \dots \qquad \theta \geq \hat{\theta} \;\Rightarrow\; \text{go to trial}$$

Back

Continuous Merit: Small Pursuit Cost ($K \le e_0 B$)

- Every type pursues; the lender picks cutoff $\hat{\theta}$ to minimize expected cost

$$EC(\hat{\theta}) = H(\hat{\theta})\, e(\hat{\theta})B \; + \int_{\hat{\theta}}^{1} \big[f_L + e(\theta)B\big]\, h(\theta)\, d\theta$$

- Interior FOC trades the fee saved on the marginal type against overpaying every inframarginal settler:

$$\underbrace{H(\hat{\theta})e'(\hat{\theta})B}_{\text{overpay settlers}} = \underbrace{f_L h(\hat{\theta})}_{\text{fee saved}} \iff g(\hat{\theta}) = f_L, \quad g(\theta) := \frac{H(\theta)e'(\theta)B}{h(\theta)}$$

- **Lowest-merit always settle:** $\hat{\theta}^* > 0$ always: sending (almost) everyone to trial is never optimal. Blanket settlement ($\hat{\theta}^* = 1$) if f_L is large
- **Comparative statics:** $\dfrac{d\hat{\theta}^*}{df_L} > 0$ (higher fee $\Rightarrow$ higher uphold rate) and $\dfrac{d\hat{\theta}^*}{dB} < 0$ (bigger awards $\Rightarrow$ *more* trials, mirroring $\partial\pi^*/\partial B > 0$)

Continuous Merit: Larger Pursuit Cost ($K \in [e_0 B, e_1 B]$)

- Pursuit-indifferent type θ_K solves $e(\theta_K)B = K$. Settling types pursue iff $T \geq K$; trial types pursue iff $\theta \geq \theta_K$
- **Slack case** (high f_L, $\hat{\theta}^* \geq \theta_K$): offer $T^* = e(\hat{\theta}^*)B \geq K$, all types pursue — exactly the small-cost case (cf. Case 1)
- **Binding case** (low f_L, $\hat{\theta}^* < \theta_K$): a clean *pure-strategy* partial-screening equilibrium (cf. mixing in Case 2). The lender offers $T^* = K$, with types split as

$\theta < \check{\theta}$: don't pursue ... $\theta \in [\check{\theta}, \theta_K]$: pursue & settle ... $\theta > \theta_K$: pursue & go to trial

Why the continuum matters: a mass of middle types makes undercutting K costly – it would push intermediate types into trial at f_L apiece, which pins the offer at $T^* = K$. The two-type model has no middle types, so the lender always undercuts to $e_{\mathrm{I}} B$, and the equilibrium there instead requires mixing.

Continuous Merit: Takeaways

- **Selection result survives:** trials occur only above the cutoff, so the observed uphold rate

$$u^* = \mathbb{E}\big[e(\theta) \mid \theta > \text{cutoff}\big] > \mathbb{E}\big[e(\theta)\big]$$

  overstates population misconduct... *not* an artifact of the two-type assumption

- **Lowest-merit cases are always screened out** and never reach a FOS trial; screening from below becomes complete as $f_L \to 0$ (mirrors $\lambda \to 0$ in the binary model)

- **Richer than binary:** trials are *not* confined to the very highest-merit cases: a whole interval above the threshold reaches trial

- **Caveat:** u^* has no clean parameter counterpart (unlike setting $e_G =$ uphold rate in the baseline). Estimating the continuous model needs functional forms for $e(\cdot)$ and $H(\cdot)$, demanding with the available moments, so left for future work

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Preview of Results

1. **Primary theoretical insight:** when lenders fund per case, inefficiencies arise through opportunistic (rent-seeking) behavior by spurious, low-merit challengers
2. **Equilibrium:** Low-merit cases settle; only guilty cases can reach trial

   $\Longrightarrow$ **Uphold rates (≈33%) vastly overstate population misconduct rates (≈5%)**

Preview of Results

1. **Primary theoretical insight:** when lenders fund per case, inefficiencies arise through opportunistic (rent-seeking) behavior by spurious, low-merit challengers
2. **Equilibrium:** Low-merit cases settle; only guilty cases can reach trial

   $\Longrightarrow$ **Uphold rates (≈33%) vastly overstate population misconduct rates (≈5%)**
3. **Cost of free access for consumers:** Under the current fee structure, innocent lenders pay $1.3bn per year in settlement payments to low-merit challengers

   $\Longrightarrow$ **The affordability–efficiency tradeoff is economically significant**
4. **Reform:** A refundable challenger deposit (alongside no lender fees) eliminates this $1.3bn transfer but increases FOS net operating costs by $730m

   $\Longrightarrow$ **Removing case fees in exchange for a higher upfront levy would benefit innocent lenders at the expense of guilty ones** Back

Basic Public FOS Case Data

Decision Reference DRN-5425291

7 Apr 2025 – American Express Services Europe Limited – Upheld

• **Banking and Payments**

DRN-5425291 The complaint Mr N complains that American Express Services Europe Limited (Amex) reduced his credit limit and that resulted in him going over the limit. He also says they wrongly reported his account status to the Credit Reference Agencies (CRA's). What happened Mr N has a ... (2 pages)

View decision

Web scraping to get ID, date, firm, decision, product

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FOS Public Decision Docs

My final decision

For the reasons I've given above, I uphold this complaint in part and tell American Express Services Europe Limited to pay Mr N £100 in compensation for the distress and inconvenience caused.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr N to accept or reject my decision before 5 May 2025.

Phillip McMahon
Ombudsman

Scrape out ombudsman name and gender, Honorifics (Mr/Mrs) of challenger(s), whether it is a fraud case, legislation applied etc.

Also scrape out damages if upheld using regular expressions and GPT 5 API

Damages Data Back

Complete Information Case

- Suppose θ common knowledge to all; solve for SGPE by backward induction
- From a trial, lender stands to lose $f_L + e_\theta B$, challenger stands to gain $e_\theta B$
- Hence any settlement transfer $T \in \mathcal{T} = [e_\theta B, f_L + e_\theta B]$ will be agreeable
- Lender TIOLI is $e_\theta B$, challenger TIOLI is $f_L + e_\theta B$, Nash bargaining can justify any $T \in \mathcal{T}$
- Challenger pursues a case provided $T > K$
- Equilibrium involves settlement in every case, including when the lender is innocent (and knows they are!)
- Policy: if $e_{\mathrm{I}} = 0$, removing f_L for innocent lenders will stop innocent challengers. If $e_{\mathrm{I}} > 0$, a sufficiently large cost to the challenger when the lender is found innocent will stop low-merit challengers

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